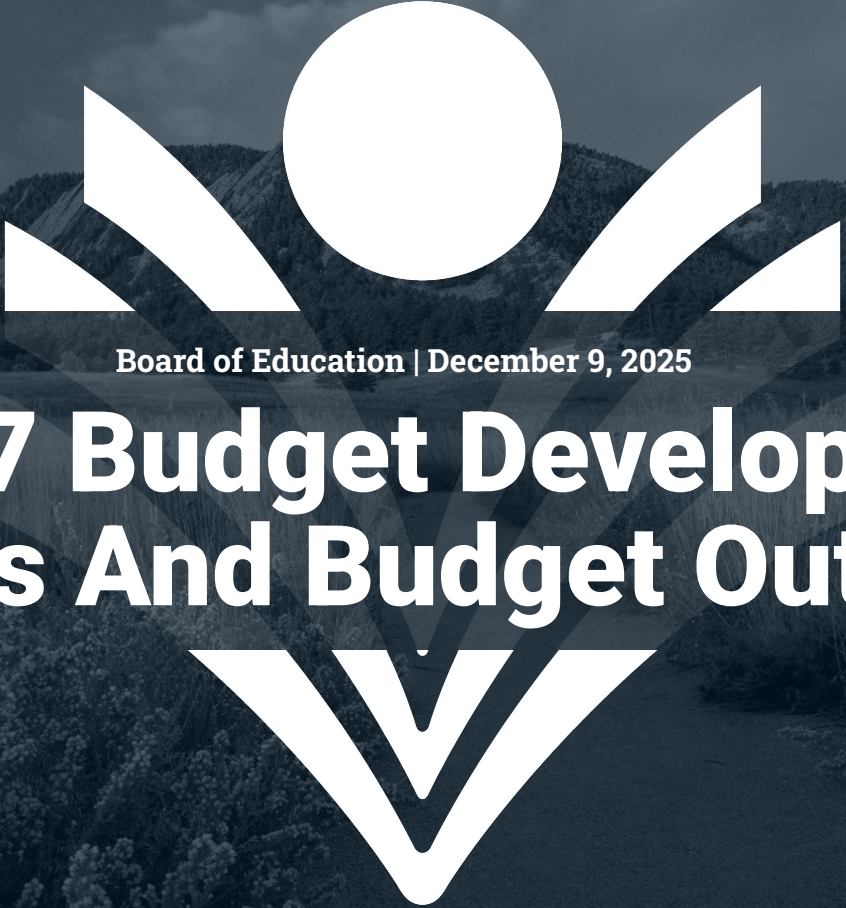




Board of Education | December 9, 2025

2026-27 Budget Development Process And Budget Outlook

2026-27 Budget Development Process

The Fiscal Cycle





**Revised
Budget
Adoption**



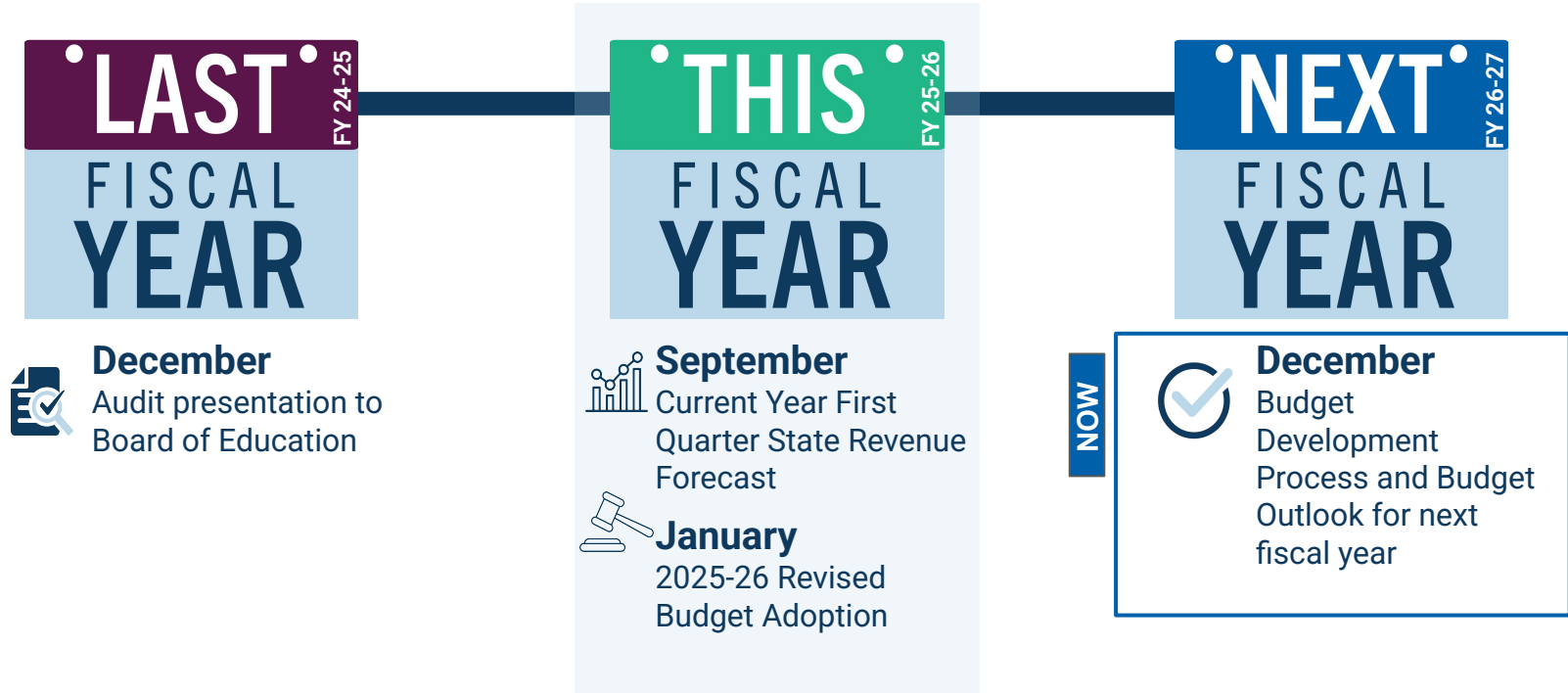
**Budget
Updates**



Implement

Fiscal Cycle and Budget Process

28-month fiscal process spanning three fiscal years



2026-27 Budget Development Process

Timeline & Milestones

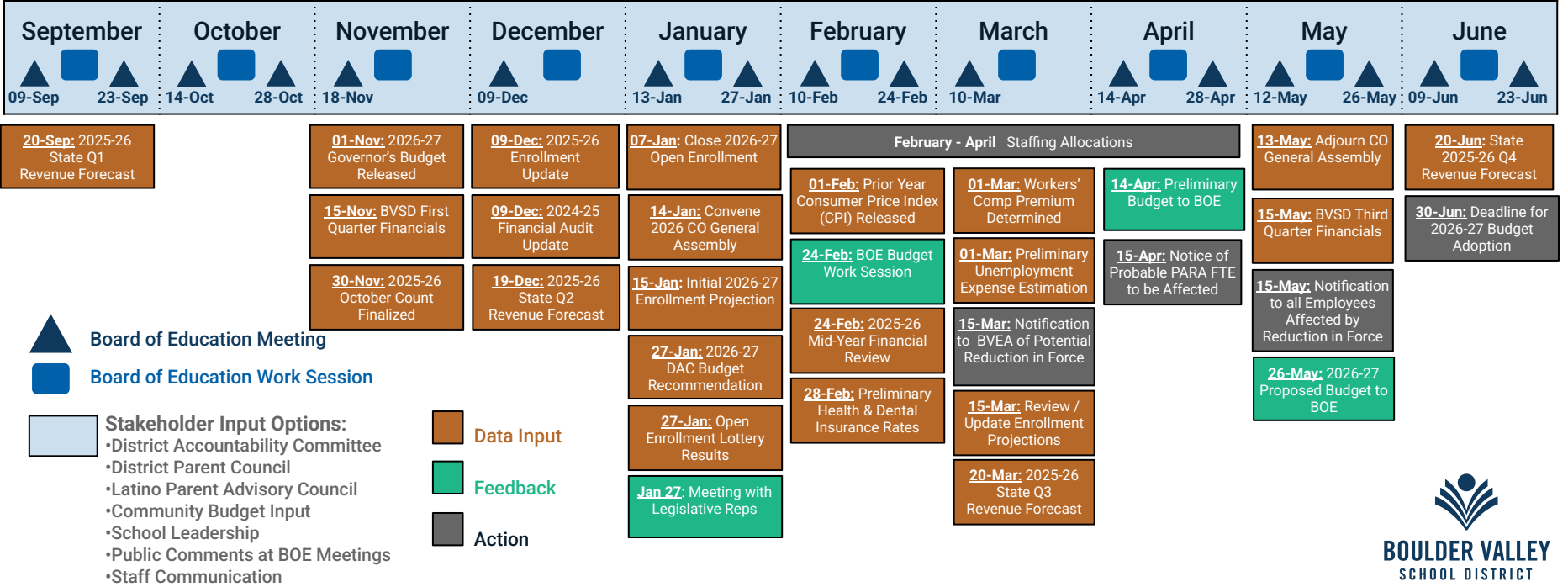


Milestones

1-Sep

2026-27 Budget Development Process Milestones

30-June



the *Takeaway*

 BOULDER VALLEY SCHOOL DISTRICT

The budget development process spans many months. There are numerous options for input, with relevant data and information coming in up until budget adoption in June.

2026-27 Budget Development Process

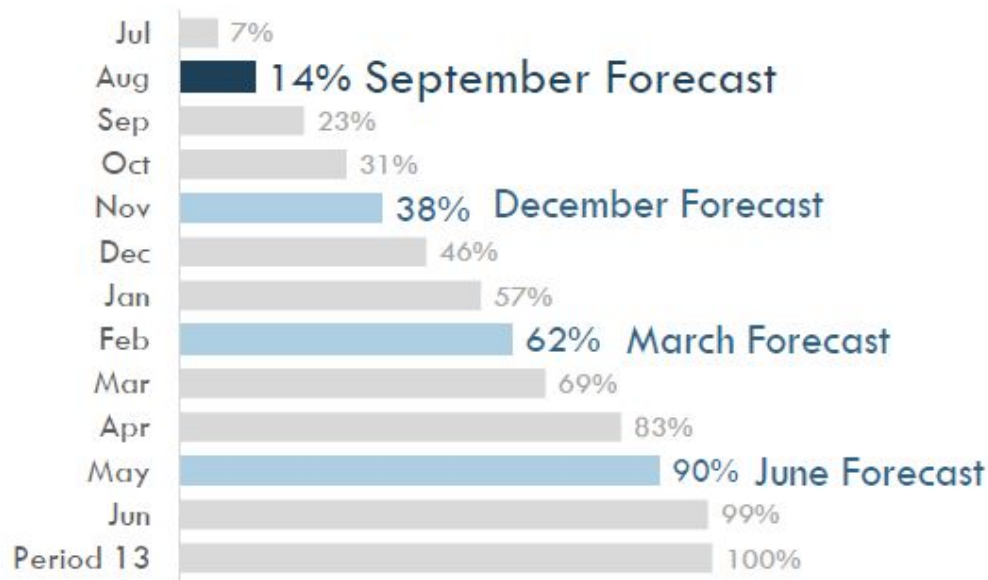
September State Revenue Forecast



2025-26 September State Revenue Forecast

Available General Fund collections data as a share of total fiscal year collections*

The September forecast is built on only 14% of the available data



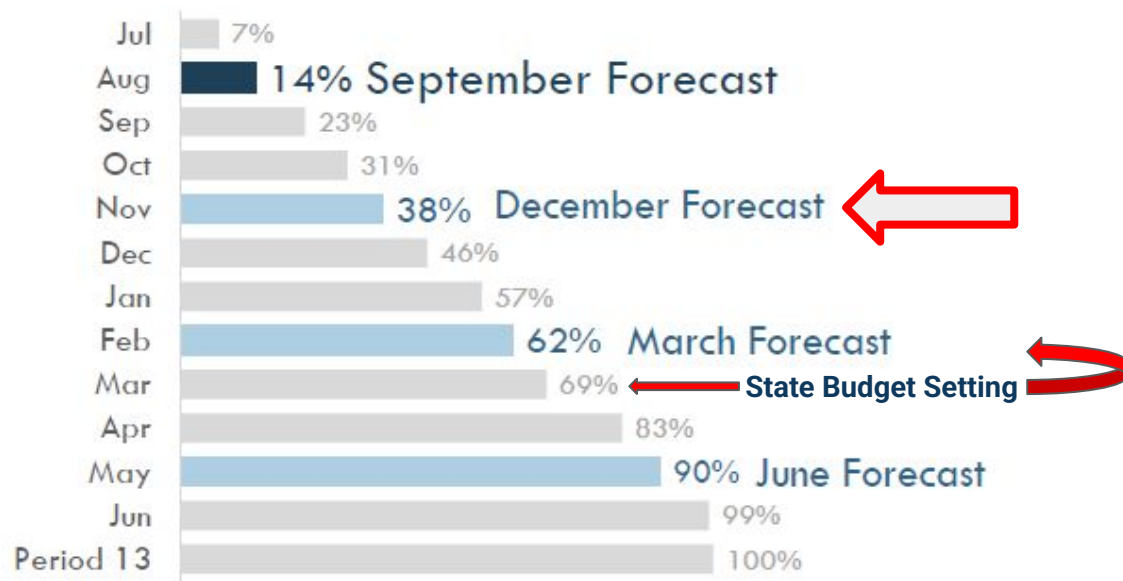
Source: Colorado Office of the State Controller and Legislative Council Staff calculations.

*Six-year average of actual collections data, FY 2013-14 to FY 2018-19.

2025-26 September State Revenue Forecast

The upcoming December forecast will have over twice as much data as September and provide a better indication of the state's financial condition

The state budget setting in March is built on 62% of the available data



Source: Colorado Office of the State Controller and Legislative Council Staff calculations.

*Six-year average of actual collections data, FY 2013-14 to FY 2018-19.

the *Takeaway*

 BOULDER VALLEY SCHOOL DISTRICT

Both the state and BVSD budgets are built with projections containing imperfect and incomplete data. As the timeline progresses, the fiscal picture becomes more clear.

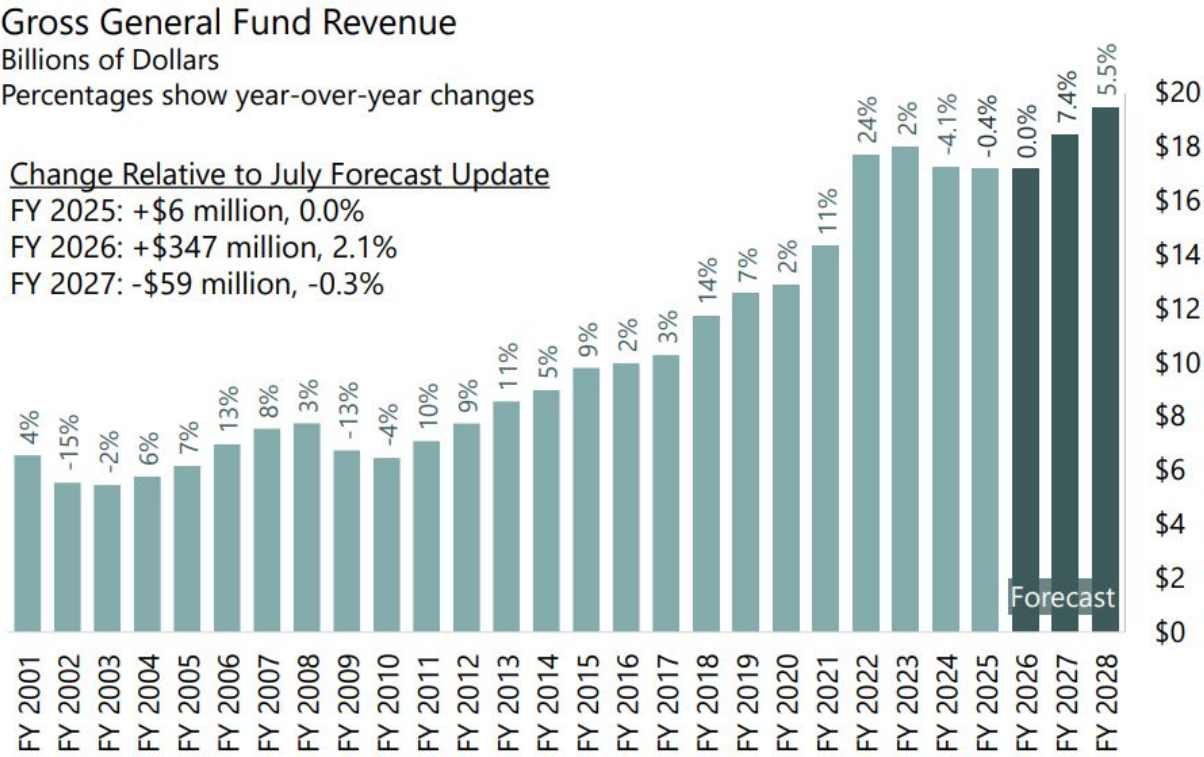
2025-26 September State Revenue Forecast

- Revenue
 - Significant downward revisions in General Fund revenue from changes in federal H.R. 1 place the State below the TABOR cap in FY 2025-26.
 - Surpluses expected to return in FY 2026-27 and FY 2027-28.
- Inflation
 - 2025 projected at 2.8% — Up from the June OSPB forecast of 2.3%
 - The Governor's budget is built on a 2.6% inflation rate
- Economy
 - The economic outlook has weakened and a near-term recession is possible



2025-26 September State Revenue Forecast

2025-26
State Budget
Outlook - Office
of the State
Controller and
Legislative Council
Staff



FY 2024-25 collections are preliminary.



the *Takeaway*

 BOULDER VALLEY SCHOOL DISTRICT

Total available state General Fund revenue is flat, while statutory increases in state budget areas, including K-12, are making it very difficult for new programs or moving towards fully funding K-12 to meet educational expectations and mandates.

2026-27 Budget Development Process

Strategic Plan and Budget Development





All Together for All Students

No Limits



All students experience grade-level, standards-based instruction.

Next Best Step



Educators and administrators implement & track tiered supports and instructional strategies to engage and grow all students, and monitor success in doing so.

Define the Destination



Throughout their PK-12 career, all students access career exploration opportunities and earn at least one of the following: College Credit, Industry Certification, Work-Based Learning Experience or Seal of Biliteracy.

Included & Valued



All students feel included and valued in their learning environments, schools engage in restorative practices with students when appropriate, and schools consistently apply recommended resolutions for specific disciplinary events (i.e., discipline framework).





Strategic Investments

**No
Limits**



All students experience
grade-level,
standards-based
instruction.

- 7 new standards-based curricula across all instructional levels
- Differentiated funding model to support highest needs students and schools
- Common instructional expectations to ensure consistent academic experiences for students
- Data-Driven Instruction to improve teaching and learning - 3 FTE instructional coaches
- Short cycle improvement planning implemented at all schools - “90-day Plans”





Strategic Investments

Next Best Step



Educators and administrators implement & track tiered supports and instructional strategies to engage and grow all students, and monitor success in doing so.

- Assessment framework and expanded availability of standards-based assessments and expectations for use
- Supports for implementing and monitoring tiered-supports for students - 2 FTE MTSS TOSAs
- Strategic Plan Support Teams to accelerate the implementation of strategic plan initiatives





Strategic Investments

Define the Destination



Throughout their PK-12 career, all students access career exploration opportunities and earn at least one of the following: College Credit, Industry Certification, Work-Based Learning Experience or Seal of Biliteracy.

- Grad+ Framework - Grad+ TOSAs and CTE FTE at high schools
- Expanded dual-language programming at the middle level
- Expanded concurrent enrollment offerings for college credit
- Expanded career exploration opportunities K-12





Strategic Investments

Included & Valued



All students feel included and valued in their learning environments, schools engage in restorative practices with students when appropriate, and schools consistently apply recommended resolutions for specific disciplinary events (i.e., discipline framework).

- Established and implemented the Discipline Framework with State aligned guidance to ensure consistency in discipline practices across BVSD
- Implemented the application of Restorative Practices as an alternative to exclusionary discipline



2026-27 Budget Development Process

Budget Development Outlook & Challenges



Governor's 2026-27 K-12 Budget Request

- 2.6% inflation (projected CPI) funding increase
- Statewide enrollment decline of 0.7% (6,002 students)
- \$315.6M increase in State Share support for K-12 schools
- Increases state average per pupil funding by \$413
- \$14.5M increase for categorical programs



Governor's 2026-27 K-12 Budget Request

- Continues the implementation of the new school finance act – HB24-1448
 - Implements 3-year averaging for declining enrollment
 - Implements the Act at the required 30%
- Maintains Budget Stabilization Factor at \$0M

Joint Budget Committee Briefing - K-12 Finance

- The Governor's budget request suggests a likely **implementation pause in FY 2027-28, cutting \$90M.**
- "LCS staff is confident the General Assembly should prepare to implement cost savings measures in FY 2027-28 to **reduce the cost of the school finance formula.**"
- LCS economists will provide a detailed school finance analysis in their FY26 Dec quarterly revenue forecast and the Governor will submit a revised FY26 school funding proposal on Jan. 2nd.



Joint Budget Committee Briefing - K-12 Finance

- LCS staff identified two options to **cut the school finance formula**
 - Requiring districts to contribute all specific ownership tax (SOT) to their local share of total program, thereby **cutting the state share by \$219M.**
 - \$6M-\$7M for BVSD
 - Changing the rate used to fund part-time enrichment students from 0.5 to 0.25

the *Takeaway*

 BOULDER VALLEY SCHOOL DISTRICT

By adjusting for 2.6% inflation, reducing averaging for declining enrollment districts, implementing the new school finance act and maintaining the Budget Stabilization Factor at \$0, the state is increasing per pupil funding by a greater percentage (3.5%) than total funding (2.7%). Future years indicate funding reductions.



2026-27 BVSD Budget Pressures

- Legislative Council School Finance Act Projections
 - 337 decline in funded FTE
 - 337 non-charter
 - 0 charter
 - \$5.6M total funding growth - +1.8%
 - \$4.8M non-charter - +1.7%
 - \$0.8M charter - 3.1%



2026-27 BVSD Budget Pressures

- Rightsize staffing in 2026-27
 - Staff currently on 1X resources
 - Adjustments for projected declining enrollment
- Limited options for new ongoing expenditures
- Long-term funding concerns relative to declining enrollment and elimination of the Budget Stabilization Factor
- 2026-27 budget focused on continuation of current Strategic Plan priorities



2026-27 BVSD Budget Pressures



Staffing

- Continued use of 1X funds for staffing
- Employee recruitment and retention in a tight labor market
- Inefficiencies with smaller schools and classes



Enrollment

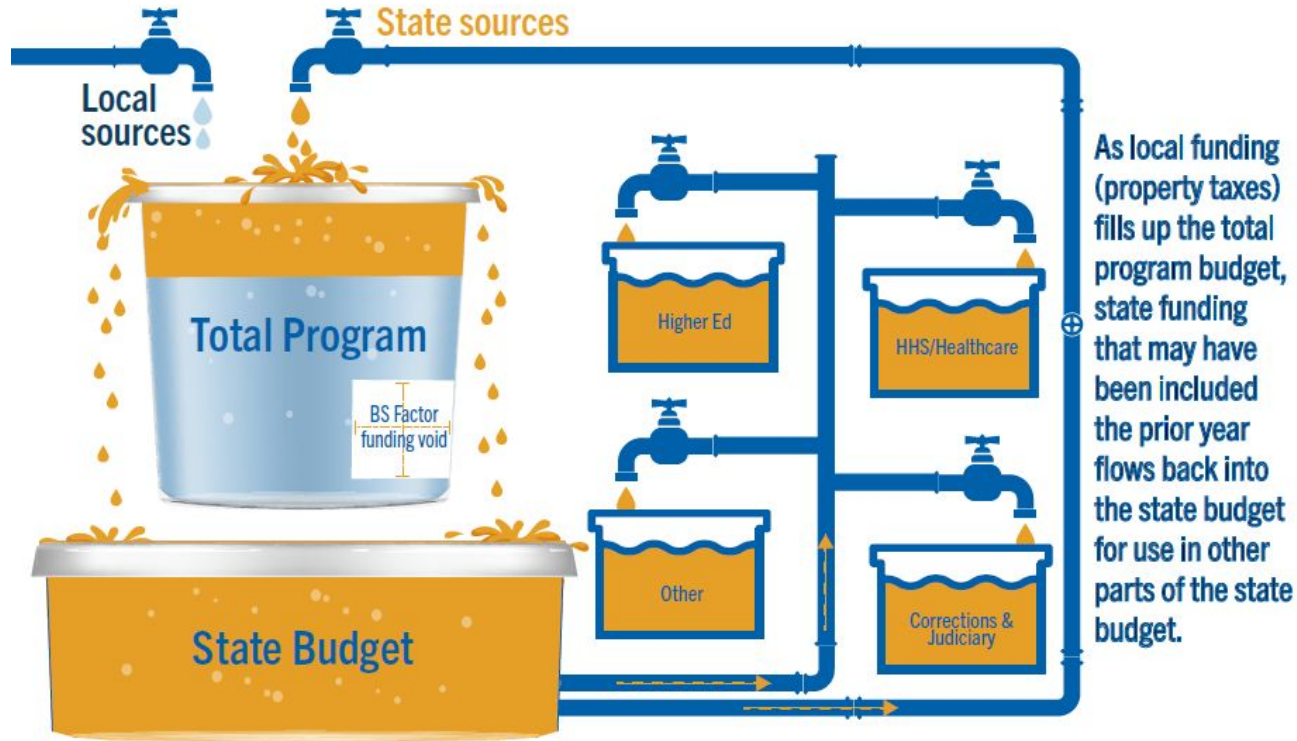
- Shifting/declining enrollment patterns
- Enrolling smaller elementary classes and graduating larger classes
- Mirroring state and national trends



Inflation

- September 2025 CO CPI forecast at 2.8% - up from 2.3% in June
- Governor's 2026-27 Nov 1 budget uses 2.6%
- Operational costs and continued wage pressures

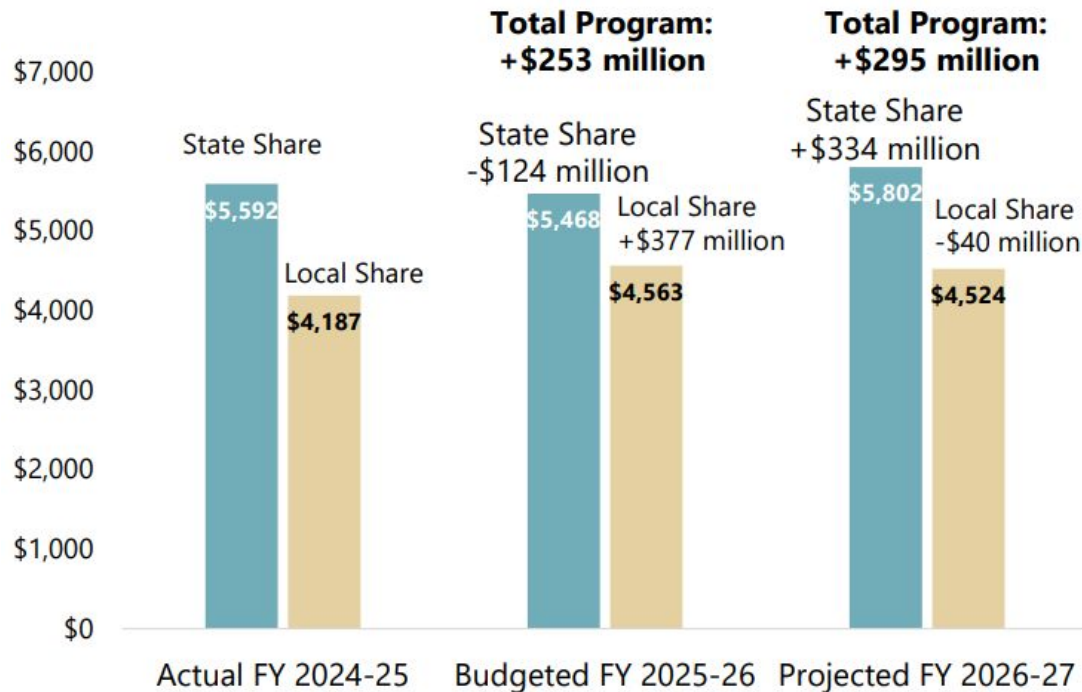
2026-27 Budget Development



2026-27 BVSD Budget Development

Property Tax and the School Finance Act

When inflation and pupil count increase less than inflation and property values, local share increases and state share decreases as seen in FY 2025-26.



2026-27 BVSD Budget Development

- **Dec 19, 2025** - 2025-26 Q2 State Revenue Forecast
- **Jan/Feb, 2026** - 2025-26 State Supplemental Budget
- **Jan 13, 2026** - 2025-26 BVSD Revised Budget Study
- **Jan 13, 2026** - 2026-27 Draft Strategic Financial Plan
- **Jan 27, 2026** - 2025-26 BVSD Revised Budget Action
- **Feb 10, 2026** - 2025-26 BVSD Midyear Analysis
- **Apr 14, 2026** - 2026-27 BVSD Preliminary Budget



Questions?

